

SALES & CUSTOMER CHURN REPORT

Customer Analysis — Q1/Q2 2024

1. Executive Summary

This report analyzes 100 sales transactions and 500 customer churn records to uncover revenue trends, regional performance, product insights, and churn risk factors.

Total Revenue ₹1,23,65,048	Total Customers 500	Churn Rate 10.6%
Top Region North ₹39,83,635	Top Product Laptop ₹38,89,210	Avg Tenure 36.5 months

2. Sales Analysis

2.1 Monthly Revenue Trend

Sales peaked in March 2024 (₹44.8L) and dropped significantly in April (₹11L), suggesting end-of-quarter buying patterns and possible seasonality.

Month	Total Sales	% of Total	Rank
January	₹41,20,524	33.3%	2
February	₹26,56,050	21.5%	3
March	₹44,85,006	36.3%	1
April	₹11,03,468	8.9%	4

2.2 Regional Sales Performance

North leads total sales, while West records the lowest revenue. South excels in Phone and Laptop categories.

Region	Headphones	Laptop	Phone	Tablet
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East	₹2,88,361	₹2,21,946	₹5,06,828	₹8,59,634
North	₹1,07,091	₹17,98,206	₹4,89,284	₹11,91,954
South	₹5,12,168	₹13,73,120	₹14,71,428	₹3,41,212
West	₹4,76,413	₹4,95,938	₹3,91,854	₹4,91,540

2.3 Product Performance

Laptop is the top revenue driver, while Monitor is the weakest performer. Tablets lead in unit quantity sold.

Product	Total Sales	Total Price	Status
Laptop	₹38,89,210	₹6,63,636	Top Performer
Tablet	₹25,84,340	₹5,18,760	High
Phone	₹28,59,394	₹5,18,244	High
Headphones	₹13,84,033	₹2,67,832	Medium
Monitor	₹13,48,071	₹3,10,645	Lowest

2.4 Top Customer Highlights

Customer ID	Sales Amount	Note
CUST016	₹3,73,932	Highest Overall Sales
CUST083	₹3,50,888	Top in March
CUST023	Qty: 9 units	Most Units Purchased
CUST054	₹6,540	Lowest Sales

3. Customer Churn Analysis

3.1 Churn Overview

Out of 500 customers, 53 have churned (10.6%). The majority of churned customers are on month-to-month contracts.

Contract Type	Active	Churned
Month-to-month	135	35 (20.6%)
One year	178	8 (4.3%)
Two year	134	10 (6.9%)

3.2 Revenue by Contract Type

Contract	Total Charges	Avg Charges/Customer
One year	₹7,58,052	₹4,075
Month-to-month	₹7,13,273	₹4,196
Two year	₹6,47,616	₹4,497

3.3 Payment Method Analysis

Payment Method	Customers	Total Revenue	Avg Revenue
Credit Card	178	₹7,69,015	₹4,320
Electronic Check	163	₹6,85,698	₹4,207
Bank Transfer	159	₹6,64,228	₹4,178

3.4 Customer Segmentation

Customers are segmented by Total Charges: High Value (>₹5,000), Medium Value (₹2,000–5,000), Low Value (<₹2,000).

Segment	Count	% of Total
High Value (>₹5,000)	200	40%
Medium Value (₹2K–5K)	192	38.4%
Low Value (<₹2,000)	108	21.6%

3.5 Key Churn Risk Factors

High-risk customers (Month-to-month contract + Tenure < 12 months + Above-average monthly charges): 21 customers identified.

Risk Factor	Impact
Month-to-month contract	Highest churn: 20.6% churn rate
Short tenure (< 12 months)	Higher likelihood of early exit
High monthly charges (>₹113)	Price sensitivity triggers churn
Electronic check payment	Associated with higher churn tendency
Paperless billing (Yes)	243 customers; slightly higher churn risk

4. Retention Strategies

Strategy	Target Customers	Expected Outcome
Offer Long-Term Plan Discount	Month-to-month subscribers	Reduce 20.6% churn risk
Engagement & Onboarding Support	Tenure < 12 months	Improve early retention
Discount / Bundle Offers	Monthly charges > ₹70	Reduce price-driven churn
Encourage Auto-Payment	Electronic check users	Reduce friction & delinquency
Regular Follow-up	Stable, long-tenure customers	Sustain loyalty

5. Key Takeaways & Recommendations

1.	March is the strongest sales month — focus promotions and campaigns in this period.
2.	Laptop is the top-selling product — ensure stock availability and upsell opportunities.
3.	North region leads in revenue — replicate North's strategies in West (lowest region).
4.	Month-to-month customers churn at 20.6% — aggressively convert them to annual plans.
5.	21 high-risk customers identified — initiate immediate retention outreach.
6.	High-value customers (40%) generate the majority of revenue — prioritize their satisfaction.
7.	CUST016 is the highest-value customer — consider a VIP loyalty program.

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